Jyotiraditya Scindia
Minister for Civil Aviation



ANI

TAKING FLIGHT AGAIN

Battered by the pandemic, the airlines industry is getting back on its feet, aided by infrastructure and stimulus schemes

By Kaushik Deka

WHAT'S DONE

- Privatisation of Air India complete; 13 airports, including six major ones, leased out to private players for 50 years
- No. of airports up from 74 in 2013–14 to 141
- Krishi Udan scheme incentivised; 110,000 MT produce transported in 2021–22, a 30 per cent jump
- MRO policy reviewed to help them expand in India, cut outflow of forex, airline expenses
- Nine new FTOs to be operational by July
- Drone rules liberalised, PLI scheme started

CHALLENGES AHEAD

- A balancing act, shielding the airlines industry from further losses while keeping air fares on a leash so that passengers don't suffer
- Increase India's share in the $2 billion global MRO industry from the current 15 per cent. Set up more FTOs
- Boost the drone industry, which is expected to generate 100,000 jobs

INDIA'S CIVIL AVIATION SECTOR is among the fastest growing in the world, with domestic traffic accounting for nearly 70 per cent of the total airline traffic in South Asia. But during the two years of the pandemic, airline operators reported losses of over Rs 19,500 crore and airports Rs 5,120 crore. With domestic traffic now returning to pre-Covid levels regular international flights resuming, the aviation sector is expected to bounce back.

A stimulus package is in the works for the industry. Jyotiraditya Scindia, the minister for civil aviation, has convinced 22 states and UTs to drop VAT on ATF to 1-4 per cent. Meanwhile, the Airports Authority of India will spend Rs 30,000 crore in the next 3-4 years to expand capacity of 42 brownfield airports and build three new ones. "The number of airports will go up from 141 to more than 200 by 2025," says Scindia. The ministry is also focusing on increasing flying training organisations (FTOs) and enhancing facilities for maintenance, repair, and overhaul (MRO) in India. While the UDAN scheme has expanded to connect Tier II and III cities, Krishi Udan has revolutionised the transportation of perishables and agriculture. ■